



Time: 5 minutes

Outcome: Analyze Price Discrimination.

Difficulty: Intermediate

Price Discrimination

THE CORE IDEA

Price discrimination charges different buyers different prices for the same product when resale can be prevented. Preventing resale is what allows separated prices to persist. Different demand responsiveness is the economic reason separated groups can receive different optimal prices. Charging each unit up to willingness to pay can make serving all units with value at least MC profitable. Price discrimination requires control over price and a way to distinguish relevant buyers or markets.

HOW TO RECOGNIZE IT

- Charging each unit up to willingness to pay can make serving all units with value at least MC profitable.
- Price discrimination requires control over price and a way to distinguish relevant buyers or markets.
- Perfect discrimination can expand output to the efficient quantity while transferring surplus to the seller.
- The firm allocates output across separated markets using marginal revenue relative to marginal cost.
- Different demand responsiveness is the economic reason separated groups can receive different optimal prices.

WATCH OUT

A common mistake is to disconnect wtp from first degree efficiency. Charging each unit up to willingness to pay can make serving all units with value at least MC profitable.

WORKED EXAMPLE: TESTING PRICE DISCRIMINATION

A theater charges students \$8 and other adults \$14 for the same seat. The policy can persist only if students cannot resell discounted tickets to adults; otherwise arbitrage would erase the price difference. Verification separates the groups, and the different prices reflect different demand elasticities.

CHECK YOURSELF

A seller charges students less than other buyers. Why must it be able to identify the groups and prevent resale for this pricing policy to persist?